# AGRICULTURAL LAND ROYALTY & REVENUE SHARING AGREEMENT

Permian Basin Agricultural Reserve

Agreement No. PBL-2025-001 | Effective Date: March 1, 2025

## 1. PARTIES TO THIS AGREEMENT

**1.1 Royalty Obligor ("Operator"):** Permian Basin Land Holdings LLC, a Texas limited liability company, registered with the Texas Secretary of State, with principal offices at 4500 N. Big Spring Street, Suite 220, Midland, TX 79705 (hereinafter "Operator").

**1.2 Royalty Beneficiary ("Beneficiary"):** The registered token holders of the PBL security token, as recorded on the XRP Ledger and the platform's investor registry, and their assignees and successors (hereinafter "Beneficiary").

**1.3 Platform Agent:** Wood Land Holdings Inc., acting as distribution agent and technology platform operator for fractional royalty disbursement.

## 2. PROPERTY DESCRIPTION

**2.1 Location:** Approximately 2,750 acres of agricultural land located in Midland County, Texas, United States, more particularly described as follows:

> Sections 8, 9, and the North Half of Section 17, Block 39, Township 1-South, T&P Railway Co. Survey, Midland County, Texas. Inclusive of all surface rights, groundwater irrigation rights, and a 50% undivided interest in subsurface mineral rights.

**2.2 Current Use:** Active agricultural production including irrigated cotton (approximately 1,800 acres), grain sorghum (approximately 700 acres), and fallow rotation land (approximately 250 acres). The property includes six center-pivot irrigation systems drawing from the Ogallala and Edwards-Trinity aquifers.

**2.3 Mineral Interest:** The Operator holds a 50% undivided working interest in subsurface mineral rights across the property. Active oil and gas leases are held by Diamondback Energy Inc. under a separate mineral lease agreement dated June 15, 2022, generating additional royalty income to the Operator.

## 3. ROYALTY PAYMENT TERMS

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|---|---|
| **Annual Royalty Amount:** | **$1,725,000.00** (One Million Seven Hundred Twenty-Five Thousand US Dollars) |

| | |
|---|---|
| **Payment Frequency:** | **Quarterly** — four equal installments of $431,250.00 per quarter |
| **Payment Due Date:** | 15th day of the first month of each calendar quarter: January 15, April 15, July 15, October 15 |
| **Currency:** | USD (United States Dollars) |
| **Payment Method:** | Digital settlement via XRPL token distribution to registered wallet addresses, or wire transfer upon written request |

**3.1 Royalty Basis:** The annual royalty of $1,725,000 represents a 9.2% annual yield on the property's appraised value of $18,750,000, derived from the following revenue streams:

| Revenue Source | Annual Revenue | % of Total |
|---|---|---|
| **Cotton production (1,800 acres @ $480/acre)** | $864,000 | 50.1% |
| **Grain sorghum production (700 acres @ $310/acre)** | $217,000 | 12.6% |
| **Mineral royalty income (oil & gas)** | $520,000 | 30.1% |
| **Groundwater lease payments** | $74,000 | 4.3% |
| **Miscellaneous (hunting leases, easements)** | $50,000 | 2.9% |
| **Total Gross Revenue** | **$1,725,000** | **100%** |

## 4. AGREEMENT TERM

| | |
|---|---|
| **Effective Date:** | **March 1, 2025** |
| **Expiration Date:** | **February 28, 2035** |
| **Initial Term:** | Ten (10) years |
| **Renewal:** | Automatic renewal for successive 5-year terms unless either party provides 180 days written notice of non-renewal |

## 5. ANNUAL ESCALATION

**5.1** The annual royalty amount shall increase by **3.0% per year**, compounded annually, beginning on the first anniversary of the Effective Date (March 1, 2026).

**5.2** The escalation reflects projected increases in agricultural commodity prices, mineral extraction values, and underlying land appreciation in the Permian Basin region.

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|---|---|
| **Escalation Rate:** | **3.0%** per annum, compounded |

**Escalation Type:** Annual percentage increase

**First Escalation Date:** March 1, 2026

**5.3 Projected Payment Schedule:**

| Year | Annual Royalty | Quarterly Payment |
|---|---|---|
| **Year 1 (2025-2026)** | $1,725,000 | $431,250 |
| **Year 2 (2026-2027)** | $1,776,750 | $444,188 |
| **Year 3 (2027-2028)** | $1,830,053 | $457,513 |
| **Year 4 (2028-2029)** | $1,884,954 | $471,239 |
| **Year 5 (2029-2030)** | $1,941,503 | $485,376 |
| **Year 6 (2030-2031)** | $1,999,748 | $499,937 |
| **Year 7 (2031-2032)** | $2,059,740 | $514,935 |
| **Year 8 (2032-2033)** | $2,121,533 | $530,383 |
| **Year 9 (2033-2034)** | $2,185,179 | $546,295 |
| **Year 10 (2034-2035)** | $2,250,734 | $562,684 |

## 6. OWNER RETAINED INTEREST

**6.1** The Operator retains a **15%** interest in all royalty payments as an ownership reserve. This retained amount is deducted prior to distribution to token holders.

**6.2** For the initial year, the retained amount equals $258,750 (15% of $1,725,000), with $1,466,250 available for distribution to token holders, subject to platform reserve deductions.

## 7. TOKEN DISTRIBUTION MECHANICS

**7.1** The Beneficiary's royalty interest is fractionalized into 5,000,000 PBL tokens issued on the XRP Ledger. Each token represents a 0.00002% undivided interest in the net distributable royalty.

**7.2** Distributions shall be made proportionally to each token holder's ownership percentage at the time of the distribution snapshot, which occurs 5 business days prior to the payment due date.

**7.3** The Platform Agent shall deduct a 10% platform reserve from the distributable amount prior to disbursement to cover operational costs, compliance, and contingency reserves.

## 8. REPRESENTATIONS AND WARRANTIES

**8.1** The Operator represents that it holds clear and marketable title to the Property, free of all liens and encumbrances except as disclosed herein.

**8.2** The Operator warrants that all agricultural operations comply with applicable USDA, EPA, and Texas Commission on Environmental Quality regulations.

**8.3** The Operator represents that mineral lease income projections are based on current production rates and contracted pricing as of the Effective Date.

## 9. DEFAULT AND REMEDIES

**9.1** A payment default shall occur if any quarterly royalty payment is not received within 30 calendar days of the due date.

**9.2** Upon default, a late fee of 1.5% per month shall accrue on the unpaid balance.

**9.3** If default continues for 90 days, the Beneficiary may elect to accelerate all remaining payments due under this Agreement and pursue all available legal remedies under Texas law.

## 10. GOVERNING LAW AND JURISDICTION

This Agreement shall be governed by and construed in accordance with the laws of the State of Texas. Any disputes shall be resolved in the state or federal courts of Midland County, Texas.

**OPERATOR:**
Permian Basin Land Holdings LLC

By: _____
Name: James R. Crawford
Title: Managing Member
Date: March 1, 2025

**PLATFORM AGENT:**
Wood Land Holdings Inc.

By: _____
Name: Jordan Wood
Title: Chief Executive Officer
Date: March 1, 2025